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Decision following supervision under the
Data Protection Regulation – Klarna Bank AB
Decision of the Swedish Authority for Privacy Protection

The Swedish Authority for Privacy Protection (IMY) finds that the investigation in the matter shows that Klarna Bank AB has processed personal data in violation of:

- Article 12.2 of the Data Protection Regulation by failing to facilitate the complainant's exercise of their right to rectification under Article 16 in accordance with their request of June 8, 2020.
- Article 16 by failing to enable the complainant to change their email address in accordance with their request of June 8, 2020.

The Swedish Authority for Privacy Protection issues Klarna Bank AB a reprimand under Article 58.2 b of the Data Protection Regulation for violations of Articles 12.2 and 16 of the Data Protection Regulation.

Account of the supervisory matter

The Swedish Authority for Privacy Protection (IMY) has initiated supervision regarding Klarna Bank AB (Klarna or the company) due to a complaint. The complaint has been forwarded to IMY, in its capacity as the responsible supervisory authority under Article 56 of the Data Protection Regulation. The transfer has occurred from the supervisory authority in the country where the complainant submitted their complaint (Germany) in accordance with the Regulation's provisions on cooperation in cross-border processing.

The investigation in the matter has been conducted through written correspondence. Given that it concerns cross-border processing, IMY has utilized the mechanisms for cooperation and consistency found in Chapter VII of the Data Protection Regulation. The relevant supervisory authorities have been the data protection authorities in Austria, Hungary, Denmark, Germany, Norway, Finland, Italy, the Netherlands, Poland, Ireland, France, Estonia, and Spain.

1 Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation).

Reference Number:

IMY-2023-8336

Date:

2024-01-09

Swedish Authority for Privacy Protection

Reference Number: IMY-2023-8336

2(5)

Date: 2024-01-09

The Complaint

The complainant has mainly stated the following. The complainant has a Klarna card and has requested rectification of the email address associated with the card. Klarna has, in its feedback to the complainant, stated that it is not technically possible to change the email address linked to the complainant's card and that the complainant therefore needs to order a new card to have their email address changed. However, a new Klarna card would affect the complainant's creditworthiness.

What Klarna Bank AB has stated

Klarna has mainly stated the following. Klarna is the data controller for the processing in question. The request for rectification was received by Klarna on June 8, 2020, and again on July 16, 2020. Klarna has handled the complainant's request received on June 8 by having a customer service representative inform that information linked to an already issued card cannot be changed and that the complainant therefore needs to order a new card to have their email address changed. The customer service representative who handled the request received on July 16, 2020, also informed the complainant that the email address for all open invoices has been changed.

The company lacks the ability to change information linked to a card that has already been issued. Since the company uses the email address linked to the customer's card as an identification point, and as part of its verification process, this practically means that a new card must be issued for the email address to be changed.

Klarna Bank AB cannot rectify the email address linked to the complainant's Klarna card because the complainant requested the deletion of their personal data with Klarna on July 16, 2020. The complainant also requested the cancellation of their Klarna card at the same time.

Reasoning of the Decision

Applicable Provisions, etc.

According to Article 12.2, the data controller shall facilitate the exercise of the rights of the data subject in accordance with Articles 15-22.

According to Article 16 of the Data Protection Regulation, the data subject has the right to obtain from the data controller, without undue delay, the rectification of inaccurate personal data concerning them. Rectification of a personal data may be considered to mean that the original, inaccurate personal data is replaced with personal data reflecting the correct circumstances.

Article 25 of the Data Protection Regulation requires that the data controller, taking into account the latest developments, implementation costs, and the nature, scope, context, and purposes of the processing, as well as the risks, varying in likelihood and severity, to the rights and freedoms of natural persons, shall, both when determining the means by which the processing is carried out and in the processing itself, implement appropriate technical and organizational measures – such as pseudonymization – designed to effectively implement data protection principles – such as data minimization – and to integrate the necessary safeguards into the processing, so that the requirements of this Regulation are met and the rights of the data subject are protected.

Swedish Authority for Privacy Protection

Diary Number: IMY-2023-8336

3(5)

Date: 2024-01-09

According to Article 5.1 d, when processing personal data, the data must be accurate and, where necessary, kept up to date. All reasonable measures must be taken to ensure that personal data which is inaccurate in relation to the purposes for which it is processed is erased or rectified without delay (the principle of accuracy).

Assessment by the Swedish Authority for Privacy Protection

When the complainant requested on June 8, 2020, to have their email address corrected, the company stated that there was no technical possibility to rectify the information and therefore urged the complainant to order a new Klarna card. According to Klarna, this is because the email address linked to the customer's card is used as an identification point, and as part of Klarna's verification process. This means that the only way to change or correct one's email address is to order and issue a new card.

According to Article 16, the data subject has the right to have inaccurate personal data rectified by the data controller. It is the data controller who must take action to rectify inaccurate data when the data subject requests it, not the data subject (cf. the principle of accuracy in Article 5.1 d, which implies that the data controller also has an obligation to rectify inaccurate data on its own initiative). What constitutes inaccurate personal data and whether a personal data should be rectified or not, should be assessed and determined in relation to the purposes for which the personal data is processed. If contact details are used for, for example, communication, it is necessary, considering the purpose of the processing of the data, that these are updated. Requesting that the data subject order a new Klarna card to have their email address corrected was not an acceptable way for the company to fulfill its obligations under Article 16. IMY thus concludes that Klarna Bank AB has violated Article 16 of the General Data Protection Regulation by failing to rectify the complainant's personal data.

According to Article 12.2 of the General Data Protection Regulation, the data controller has an obligation to facilitate the exercise of, among other things, the data subject's right to rectification under Article 16. The meaning of this obligation is elaborated in Recital 59, which states, among other things, that procedures should be established to make it easier for data subjects to exercise their rights, including mechanisms for requesting and, where appropriate, obtaining rectification. Article 12.2 thus includes an obligation for the data controller to proactively design solutions that make it easy for the data subject to exercise their rights. The solution that the company has offered has not enabled the data subject to have their email address rectified with the solution that the company has provided, i.e., that the complainant should order a new card.

IMY considers, in light of Article 5.1 d and Article 25 of the General Data Protection Regulation, that the solution offered by the company, i.e., that the complainant should order a new Klarna card, has made it more difficult for the complainant to exercise their right to rectification. Facilitating for the data subject is about having simple and clear means of communication to exercise their rights. By referring the complainant to order a new card based on how the company's system is designed, the company has not enabled the exercise of the complainant's right. The company cannot deviate from its obligations under the General Data Protection Regulation through the design of its own systems. On the contrary, the regulation, as stated above, imposes requirements on the data controller to facilitate the exercise of the data subject's rights. The company's justification, i.e., that it is not possible to rectify for technical reasons, is deemed to contradict this.

Swedish Authority for Privacy Protection

Case Number: IMY-2023-8336

4(5)

Date: 2024-01-09

IMY hereby finds that Klarna Bank AB has violated Article 12.2 of the General Data Protection Regulation by failing to facilitate the complainant's exercise of their right under Article 16 to have their email address rectified.

Choice of Intervention

According to Article 58.2 and Article 83.2 of the General Data Protection Regulation, IMY has the authority to impose administrative fines in accordance with Article 83. Depending on the circumstances of the individual case, administrative fines may be imposed in addition to or instead of the other measures referred to in Article 58.2, such as orders and prohibitions. Furthermore, Article 83.2 specifies the factors to be considered when deciding whether administrative fines should be imposed and when determining the amount of the fine. If it concerns a minor infringement, IMY may, as stated in Recital 148, instead of imposing a fine, issue a reprimand in accordance with Article 58.2 b. Consideration should be given to aggravating and mitigating circumstances in the case, such as the nature, severity, and duration of the infringement, as well as previous relevant infringements.

IMY notes the following relevant circumstances. Klarna has violated Article 16 and Article 12.2 of the General Data Protection Regulation by failing to comply with or facilitate the complainant's request for rectification under Article 16. This supervision has only concerned the data of one individual. Klarna has also provided feedback to the complainant and explained why it is not possible for the company to

rectify the email address. Furthermore, Klarna has offered the complainant an alternative to have their email address rectified. Therefore, Klarna cannot be considered to have intended to deny the complainant the rectification of their email address.

In light of this, IMY assesses that this constitutes a minor infringement in the sense referred to in Recital 148 of the General Data Protection Regulation, which means that Klarna Bank AB should be given a reprimand in accordance with Article 58.2 b of the General Data Protection Regulation for the identified infringements.

This decision has been made by the unit manager Albin Brunskog after presentation by the lawyer Sadia Dost.

Albin Brunskog, 2024-01-09 (This is an electronic signature)

Swedish Authority for Privacy Protection

Case Number: IMY-2023-8336

5(5)

Date: 2024-01-09

How to Appeal

If you wish to appeal the decision, you should write to IMY. Indicate in your letter which decision you are appealing and the change you are requesting. The appeal must be received by IMY no later than three weeks from the day you were informed of the decision. However, if you are a party representing the public interest, the appeal must be submitted within three weeks from the day the decision was announced. If the appeal is submitted on time, IMY will forward it to the Administrative Court in Stockholm for consideration.

You may email the appeal to IMY if it does not contain any sensitive personal data or information that may be subject to confidentiality. The authority's contact details are provided on the first page of the decision.